

Foreign Exchange Policy Department
Bangladesh Bank
Head Office
Dhaka.
www.bb.org.bd

FE Circular No. 11

Date: March 23, 2017

All Authorized Dealers in
foreign exchange in Bangladesh

Dear Sirs,

**Lending in Taka working capital loans to foreign
owned/controlled companies in Bangladesh**

Guidelines on Commercial Paper (CP) for Banks issued vide [BRPD Circular No. 07, dated September 25, 2016](#) read with subsequent circulars stipulate regulatory framework for banks when dealing with commercial paper issued/sold by usually large corporations for financing working capital. Banks are permitted to invest in CPs, provide credit enhancements to CP issuers and act as an Issuing and Paying Agents (IPA) of CPs in the manner set forth in this guidelines.

02. To widen the scope of Taka working capital loans for foreign owned/controlled companies, it has been decided that resident persons/companies may purchase CPs issued by such companies in terms of general instructions of the aforementioned guidelines. Accordingly, instructions regarding Taka working capital loans by banks to foreign owned/controlled companies contained in paragraph 4(A), chapter 16 of the Guidelines for Foreign Exchange Transactions-2009, Vol-1 shall stand amended.

Please bring the contents of this circular to the notice of all your concerned constituents.

Yours faithfully,



(Md. Abdul Mannan)
Deputy General Manager
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